



Issued By Communications Department

Date 31.07.2026

CCPI-based headline inflation accelerated in July 2026

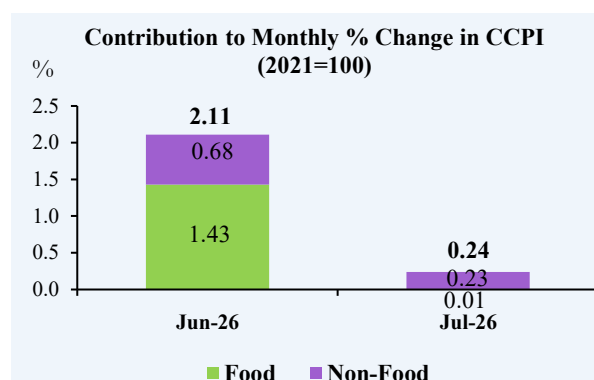
The Colombo Consumer Price Index¹ (CCPI, 2021=100) based headline inflation (year-on-year, Y-o-Y) increased to 7.3% in July 2026 from 6.8% in June 2026, primarily reflecting the adjustment in housing rent in the non-food category and the base effect in food inflation. Meanwhile, food inflation (Y-o-Y) accelerated to 6.3% in July 2026 from 3.6% in June 2026, contributing mainly to the increase in headline inflation, while non-food inflation (Y-o-Y) decelerated to 7.8% in July 2026 from 8.4% in June 2026.

On a month-on-month basis, the CCPI increased by 0.24% in July 2026. This increase was mainly driven by the non-food category, which contributed 0.23 percentage points, largely owing to the increase in housing rent, while the food category contributed a marginal 0.01 percentage points.

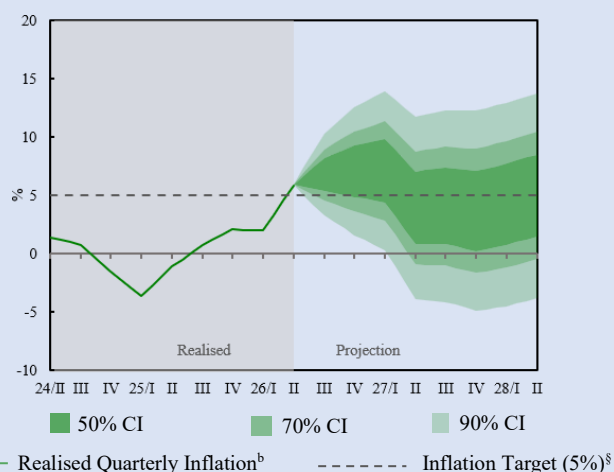
Meanwhile, core inflation (Y-o-Y) accelerated to 4.4% in July 2026 from 4.0% in June 2026.

Inflation projections made at the monetary policy round in July 2026, based on available information and assumptions, indicate that headline inflation is expected to remain above the target of 5% in the near term, before easing and stabilising around the target over the medium term, supported by appropriate policy measures. However, amid the fluid nature of the prevailing tensions in the Middle East and its wide-ranging spillovers across both global and domestic economic activity, the present inflation outlook remains subject to elevated uncertainty.

Inflation CCPI (2021=100)	June 2026	July 2026
Index Value	207.7	208.2
Monthly Change (%)	2.1	0.2
Y-o-Y Inflation (%)	6.8	7.3



Baseline Quarterly Headline Inflation Forecast^a (CCPI^b, y-o-y) Based on the projections during the July 2026 monetary policy round



a/ **Note: A forecast is neither a promise nor a commitment.** The inflation fan chart depicted here illustrates the uncertainty surrounding the baseline projections using confidence bands of gradually fading colours. The projections displayed in the fan chart reflect the available data, assumptions and judgements made at the forecast round in July 2026. Any significant changes in underlying conditions could lead to notable deviations from these projections.

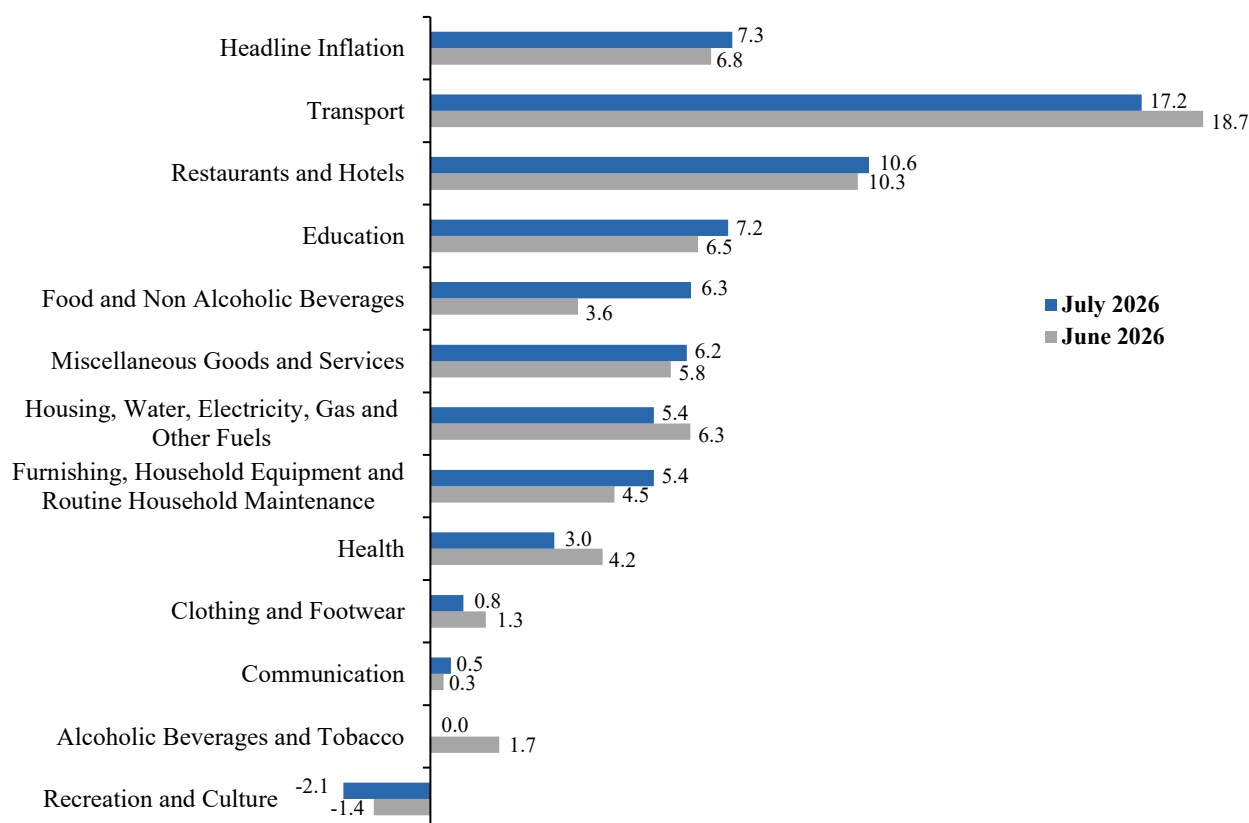
b/ Realised data in the fan chart are based on the CCPI (2021=100, seasonally adjusted). Projections are based on all available data.

[§] The inflation target (5%) was agreed under the Monetary Policy Framework Agreement (MPFA) signed between the Central Bank and the Minister of Finance in October 2023.

Source: Central Bank Staff Projections

¹ The Colombo Consumer Price Index (CCPI, 2021=100) is compiled by the Department of Census and Statistics (DCS) to indicate average changes in the prices of goods and services purchased by households in urban areas of the Colombo district.

CCPI (2021=100) based Headline Inflation by Subcategory (Y-o-Y % Change)



Movement of the CCPI (2021=100)

Period		Index Number		Monthly % Change		Y-o-Y % Change		Annual Average % Change	
Year	Month	CCPI	CCPI (Core)	CCPI	CCPI (Core)	CCPI	CCPI (Core)	CCPI	CCPI (Core)
2025	July	194.1	180.8	-0.2	0.4	-0.3	1.6	-1.6	1.9
	August	193.3	180.9	-0.4	0.1	1.2	2.0	-1.5	1.8
	September	193.7	181.2	0.2	0.2	1.5	2.0	-1.4	1.7
	October	193.8	181.4	0.1	0.1	2.1	2.2	-1.2	1.6
	November	193.4	181.3	-0.2	-0.1	2.1	2.4	-0.8	1.6
	December	195.8	181.8	1.2	0.3	2.1	2.7	-0.5	1.6
2026	January	197.0	182.5	0.6	0.4	2.3	2.3	0.0	1.7
	February	195.3	182.3	-0.9	-0.1	1.6	2.1	0.5	1.8
	March	195.8	183.0	0.3	0.4	2.2	2.5	0.9	2.0
	April	201.6	185.6	3.0	1.4	5.4	3.8	1.6	2.2
	May	203.4	186.1	0.9	0.3	5.5	3.9	2.1	2.4
	June	207.7	187.3	2.1	0.6	6.8	4.0	2.7	2.6
	July	208.2	188.8	0.2	0.8	7.3	4.4	3.3	2.9

Source: Department of Census and Statistics

Note: As per DCS, Y-o-Y inflation and monthly change are calculated using the rounded off index numbers.